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**Japanese conglomerate Hitachi has been doing business in India for nearly a century, making it the company's oldest foreign presence. From pioneering contributions in railway locomotives and telephone exchanges to powering critical infrastructure like the Bhakra Nangal dam, Hitachi has been an integral part of India's growth story. Over the decades, this collaboration has expanded across key sectors, including manufacturing, infrastructure, and the digital economy. As the company approaches its 100-year milestone in India, Bharat Kaushal, MD, Hitachi India, and Sanjeev Krishan, Chairperson of PwC in India, sat down with Siddharth Zarabi, Editor of *Business Today*, to discuss Hitachi's business, the state of manufacturing and the India growth story. Edited excerpts:**

**SZ:** How do you describe the state of manufacturing in India, particularly after the policy push over the past 10 years?

**SK:** Manufacturing has received a lot of attention in India in the last 10 years. First, the world economy was looking for other alternatives to China with the 'China plus one' strategy, and India was also looking at it as a generator of employment. But in the manufacturing space, the Chinese, South Koreans and many Southeast Asian economies had built capacities even in 1985 for six, seven billion people and amortised costs over high-margin Western economies with their competitiveness. They could very easily question the competitiveness of manufacturing in India. And the

other big change in the landscape of manufacturing globally was the introduction of robotics, which meant that assisted intelligence was going to augmented intelligence, which was going to autonomous intelligence. The new manufacturing requirement was a blend of operating technologies, IT solutions, and a new society that is transforming with a new sense of empowerment and entitlement. When we look at which industries to focus on, capital goods remains very important in a large economy. And we have now become the world's biggest rail company and the biggest energy transmission company, with many new companies joining the Hitachi fold. And that itself has been a big turning point for our manufacturing base in India. It's not just about making in India for India, which is a very large market and can pay for better quality now. And it's no longer like what our competitors did 10, 15 years ago, that is, low-cost, low-margin, work. Competitiveness with higher quality has been the bedrock on which all these new policy frameworks have been built.

**SZ:** Do Indian companies meet the high-quality parameters Japanese firms are used to?

**BK:** I won't use one scale for all because there are

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**“Like any major transformational change, AI is a reality. It has been unleashed, and you can't stop it, you must ride it... you must embrace it with earnestness and commitment”**

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many Indias in India. Here industry 1.0 and 2.0 exist in certain areas and 3.0 and 4.0 in others. There is more technology intervention required in certain cases.

In India, the championship position we've taken in 10 years in digital has suddenly made society more empowered. And there is a reverse engineering from demand learnings. In today's India, the stakeholder has gone beyond the customer to the user. If you imagine an economic value chain to do business in India competitively, then you look at energy as a service,